

IPO

SMALL SURGE

The increase in SME IPOs and exuberance in that space may force Sebi to clamp down, but market watchers advise it to tread lightly

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► **THERE HAS BEEN** a surge in initial public offerings (IPOs) from small and medium-sized enterprises (SMEs) in recent years. More than 90 SME firms have already gone public in the first five months of 2024. In fact, FY24 saw a record 204 SME public issues, according to data from Prime Database.

18 | While this surge indicates a vibrant and growing ecosystem, it has also sparked a debate regarding some firms misusing the segment for personal gain. There have been instances of issues being oversubscribed hundreds of times and stock prices surging despite the absence of any supporting growth in the companies' fundamental metrics.

To ensure better oversight, the Securities and Exchange Board of India (Sebi)—the capital markets regulator—may tighten listing norms. A couple of months ago, speaking about the SME IPO space, Sebi Chairperson Madhabi Puri Buch said the regulator had reasons to believe that some entities were misusing the segment for price manipulation.

“The reality is that these are relatively small entities, the market capitalisation is small, and the free float is small. It is relatively easy to manipulate both at the IPO level and the trading level,” she had stated.

Some experts argue that the existing regulations, which offer lenient listing and disclosure requirements for SMEs compared to mainboard companies, may inad-

